What is money supply?

The amount of money held by households, businesses and others

Cash and deposits

Money supply measures the amount of money in the economy by adding up balances such as cash and deposits. Different measures cover different types of money.

Japan uses the term “money stock”

In 2008, the Bank of Japan revised its statistics and renamed its Money Supply Statistics as Money Stock Statistics.

Whose money is included?

The main holders are individuals, non-financial businesses and local governments. Deposits held by financial institutions or the central government, among others, are excluded.

M1, M2 and M3 in Japan

Both financial products and the institutions covered matter

M1: cash plus readily usable deposits

Cash plus ordinary deposits, current deposits and similar deposit money. These funds are readily usable for payments. Coverage includes all depository institutions, including Japan Post Bank.

M2: cash + deposit money + quasi-money + CDs

Compiled for domestic banks and other covered institutions. Includes time deposits and foreign-currency deposits, but excludes institutions such as Japan Post Bank.

M3: broader institutional coverage than M2

Includes Japan Post Bank, credit cooperatives and agricultural cooperatives, among others. The types of financial products included are the same as in M2.

Important definitions

CDs are negotiable certificates of deposit. Quasi-money includes time deposits and foreign-currency deposits.
M1 and M2 cover different institutions. In Japan, M2 is not simply M1 plus time deposits.

Money stock versus monetary base

Two different measures of money

Monetary base

Money supplied by the central bank. In Japan, it is the sum of Bank of Japan notes in circulation, coins in circulation and current account balances at the Bank of Japan.

Money stock

Cash, deposits and similar balances held by individuals, businesses and other covered holders. Financial institutions’ current account balances at the Bank of Japan are not included.

Bank lending and deposits

When a bank makes a loan, a deposit is created in the borrower’s account. Loan demand and banks’ willingness to lend also influence the amount of money.

No automatic proportional increase

An increase in current account balances at the Bank of Japan does not automatically increase household and business deposits by the same proportion.

Does more money mean inflation?

More money does not necessarily mean higher prices

Money is only one factor

The effect on prices depends on more than the quantity of money. Spending behavior and the supply of goods and services also matter.

How quickly money is spent

How much flows into consumption and investment?

The balance of demand and supply

Is supply sufficient relative to the amount people want to buy?

Interest rates, lending and inflation expectations

How do borrowing and spending decisions change?

Reading the indicator

Money stock measures outstanding money balances. Assess its relationship with prices alongside the pace of spending and productive capacity.